



■ SMARTPHONES

Can India, the most populous country in the world be also its largest factory floor?

India has become the world's most populous country, surpassing China. While this news is confounding, it makes us wonder whether a growing population will help India gain a solid foothold in the global smartphone market. Will Indian smartphone brands stand to benefit from this?

How a growing population can aid the smartphone market?

Theoretically, India's population growth could act as a boon. About 68 per cent of its population falls in the 15-64 age bracket. This is the demographic that's majorly employed and contributes to consumption. Now, if this crowd is high-skilled and consists of good-quality workers, they are what any production floor including smartphones needs.

With the Government of India's PLI scheme and Made in India initiative, more and more brands could be lured into investing in our land. A larger pro-

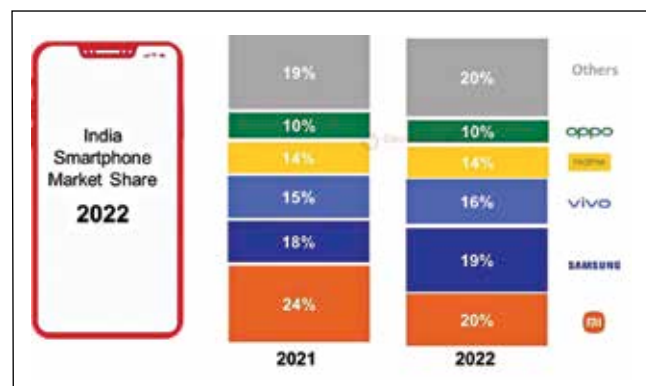
duction capacity also requires cutting-edge machines and assembly lines. It would have to be backed by a healthy supply chain that's not only efficient but also resilient to market pressures and economic downturns. The smartphone makers would also want the market to have a cheaper cost to manufacture, source components, and ship to and fro its different markets.

On the other side of the coin, a growing populous, will create more demand for smartphones in everything from education to everyday needs. We are thus, seeing an increase in data consumption, a soaring gaming crowd and a surge in online startups. Some of these startups can be smartphone or accessory manufacturers.

Can Indian brands benefit from this?

At present, Indian brands are lagging behind. Even though India is the second largest smartphone maker in the world in terms of volume, there are no Indian players in the chart. Indigenous brands could leverage the rising sentiment for Made in India products, and avail the cushion of government schemes.

We need to see more patents coming from these homegrown manufacturers. They will have to spearhead innovation to outsmart incumbent market leaders. Much like Chinese OEMs took away market share from the local players during the 3G to 4G transition phase, 5G could pave a way for these brands, if they act fast and smart. Even in the current state, wherein they import some of the components from abroad, the Indian manufacturing units generate jobs and skills. MeitY and ICEA are bullish on the growth of local electronics manufacturing and assure a 100-per cent commitment to Ease of Doing Business. The government is reinforcing the BIS standards and rolling out guidelines for phone makers to test the devices as per this standard. So, this could be the time for Indian smartphone companies to shine when their Chinese counterparts are bogged down by data privacy concerns, increasing competition and everything in between.



Source: Counterpoint Research